FROM THE INVESTMENT DESK

Why now is a good time for Ionic Yield Enhancer

2026 has reminded investors that markets rarely move in straight lines. The Nifty 50 swung 16% from its January high to its April low, foreign investors withdrew a record ₹3.08 lakh crore, and the AI-led rally in global markets has begun to wobble, with the US 10-year yield touching its highest level since 2002. At home, the rate-cut cycle has ended. CPI inflation climbed from 4.45% to 5.54% in two months, the RBI raised the repo rate to 5.50% on 7 October, and the 10-year G-Sec now yields 7.47%, its highest since March 2023. Headline equity valuations look reasonable, but the typical stock does not: the median BSE 500 company was still priced at about 33 times trailing earnings at the last published count, roughly one and a half times the index multiple, and small-cap indices trade 13–25% above their own five-year median valuations. In this setting we believe part of every portfolio should earn its return from contracted cash flows rather than from markets re-rating.

This is where short-term corporate bonds earn their place. Ionic Yield Enhancer targets 11% a year from issuer-by-issuer researched corporate bonds held at a 1–1.5 year duration, about 3.5 points above 1-year AAA bonds and 4.75 points above a bank FD. That short duration matters in a year when rates are rising: a further 1% rise in yields would cost the portfolio roughly 1.25% in price, which coupon income recovers in about six weeks, against a near-7% hit for a 10-year government bond. As holdings mature every few months, we reinvest at the higher yields now available. The strategy also steadies a portfolio through uncertain markets: an investor who held 30% in it at its target return this year would have seen a −12.9% equity drawdown narrow to about −6.4%. We see it as a complement to long-term equity, not a replacement: the part of the portfolio that keeps compounding while markets find their footing.

Ionic Yield Enhancer · Investment Team

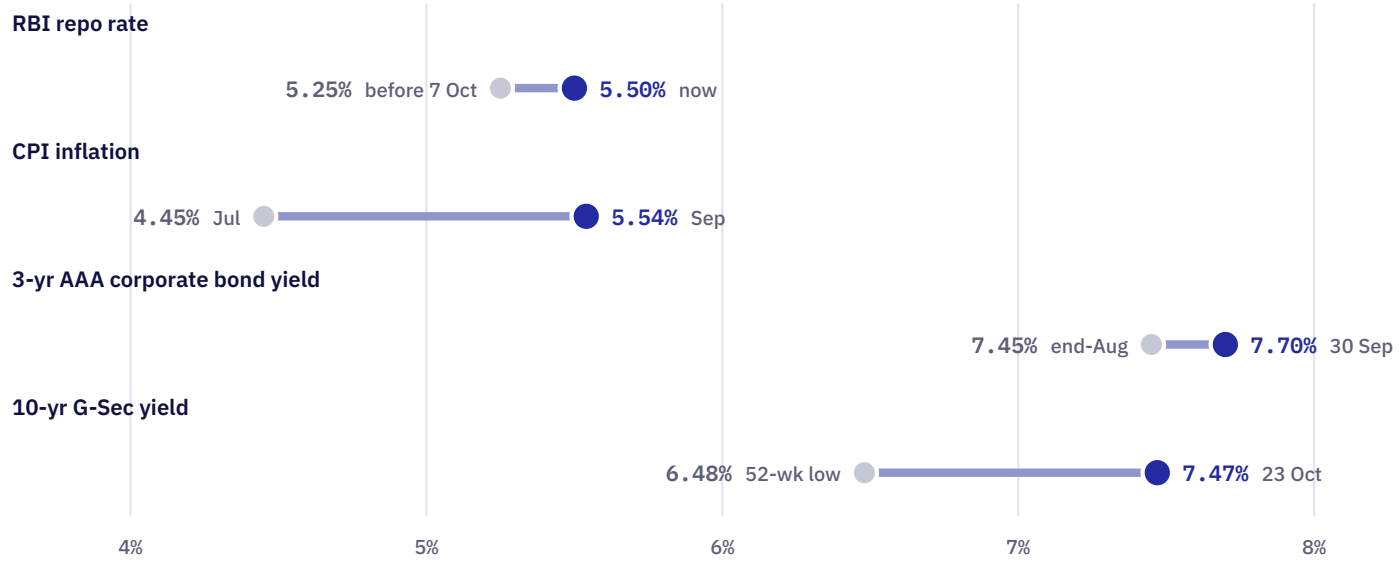
5.54%
CPI inflation in Sep, up from 4.45% in Jul

7.47%
10-yr G-Sec yield, highest since Mar 2023

~33×
P/E of the median BSE 500 stock vs ~22× for the index

11% p.a.
Yield Enhancer target, 1–1.5 yr duration

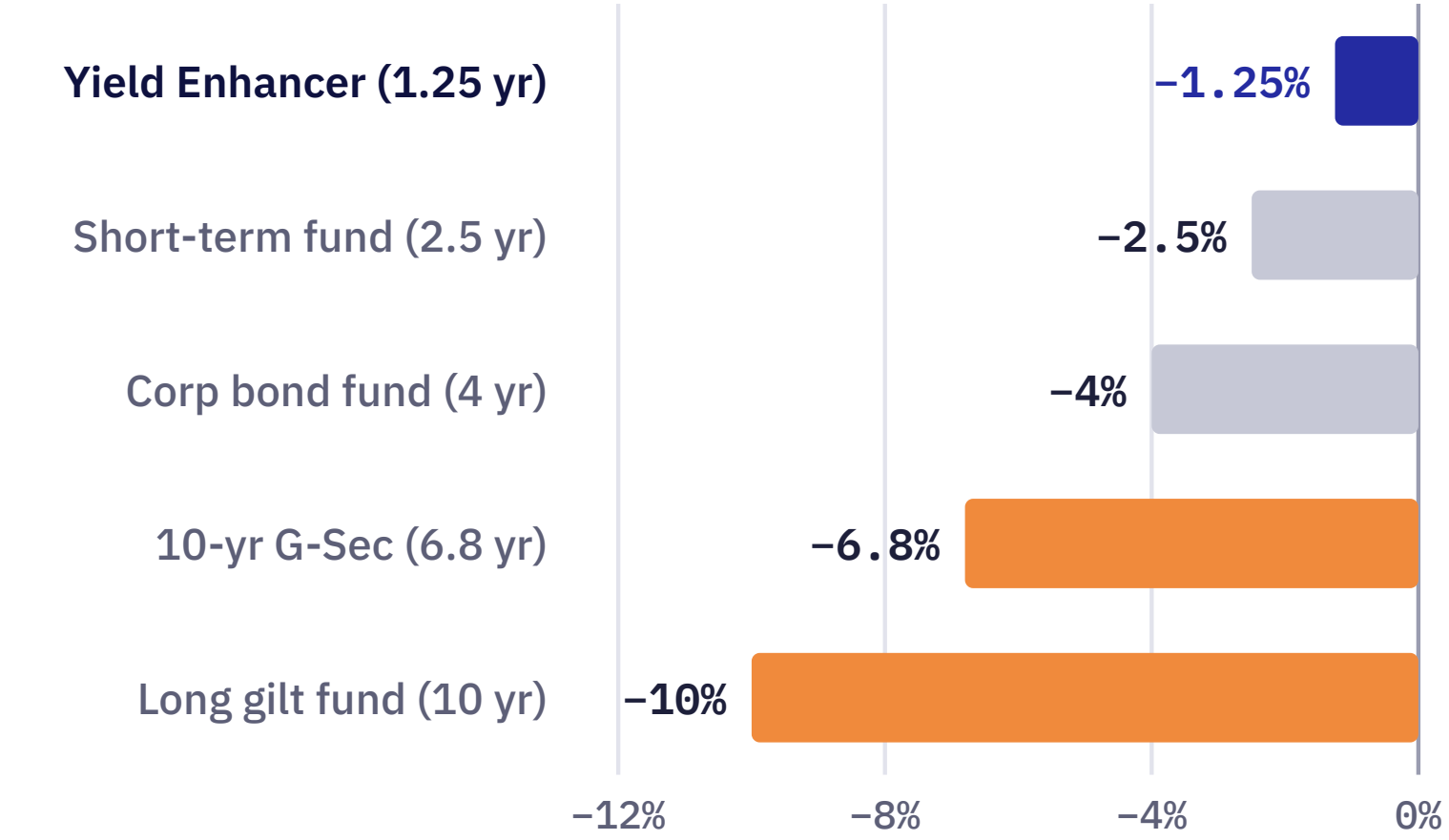
Interest rates and inflation have turned up



Earlier reading (grey) vs latest reading (blue). Every measure has moved higher in the last three months, and the RBI's minutes signal no cuts for now.

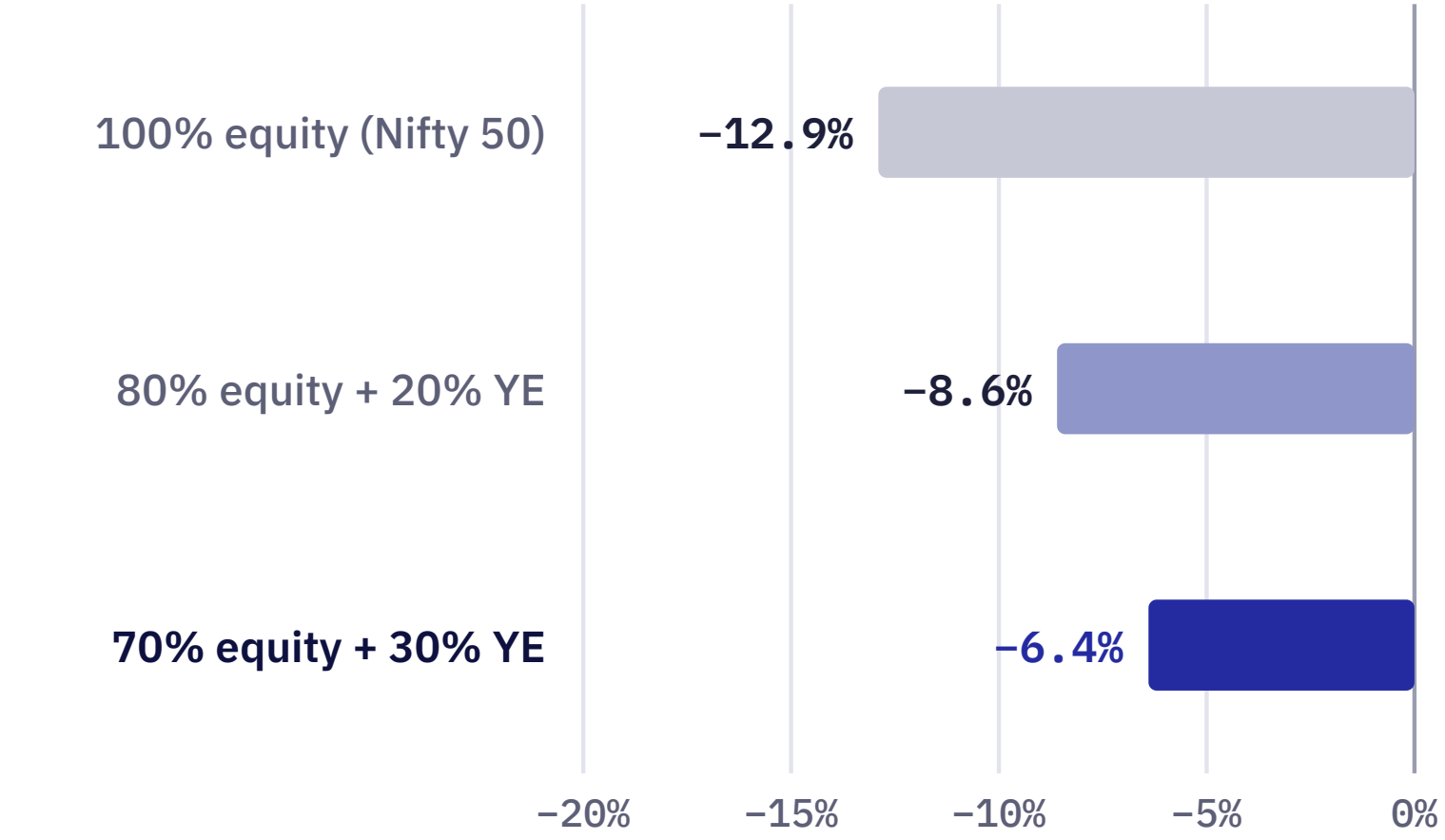
Data as of 27 Oct 2026. Sources: RBI; NSO (CPI); ICRA Analytics / Refinitiv via ABSL AMC tracker (AAA yields, 30 Sep); Trading Economics, Investing.com (G-Sec); NSDL via Business Standard (FPI flows); Wolf Street (US yields); Banyantree Advisors (median BSE 500 P/E, Jan 2026 newsletter, latest published); indexpe.in / NSE (index P/E).

Price impact if interest rates rise by 1%



Short duration keeps price swings small. A 1.25-year portfolio earns back a 1% rate shock in about six weeks of coupon.

A hedge for uncertainty: 2026 so far



An equity portfolio with and without a Yield Enhancer (YE) sleeve. Hypothetical: Nifty 50 price change to 26 Oct, YE at its 11% target pro-rated.

Valuations: the typical stock is far pricier than the headline index